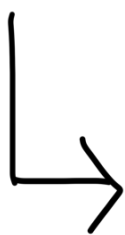


④ Volume-Weighted Average Price



What is VWAP?

Single day

VWAP = Volume-Weighted Average Price

In simple words:

VWAP is the “true average price” of the stock for the day, weighted by how much volume traded at each price.

It answers this question:

At what price did most money actually trade today?



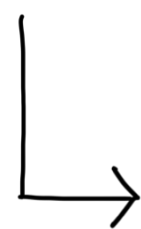
Why VWAP is different from MA

Indicator	What it averages
MA	Price only
VWAP	Price × Volume

So:

- A small trade at a weird price doesn’t matter much
- Heavy trading at a price matters a lot

VWAP shows where the big money traded, not just where price passed through.



Why institutions use VWAP

Large players (funds, banks, hedge funds) cannot buy all at once.

They use VWAP to:

- Buy **below** VWAP → “good execution”
- Sell **above** VWAP → “good execution”

So VWAP acts like a fair value line for the day.



How to Combine VWAP + Moving Averages (MA)

Think of it like this:

MA = trend (bigger picture)
VWAP = execution (today’s battlefield)



3 Bullish Setup (Most common & safest)

Conditions

- MA20 and MA30 sloping up
- Price above MA30
- VWAP sloping up

Entry ideas

- Price **pulls back to VWAP** and holds
- Or price dips slightly **below VWAP** and **reclaims it** with a green candle

Interpretation:

Institutions defend VWAP while higher-timeframe trend is bullish

Avoid buying when

- Price is **above VWAP** but MAs slope down
- Price is **far above VWAP** (overextended)

Important!

4 The most important rule (burn this in)

- Above VWAP**
- Buyers are winning today
 - Most money is in profit
 - Pullbacks tend to be bought
- Below VWAP**
- Sellers are winning today
 - Most money is losing
 - Rallies tend to be sold

That’s it.
Everything else is extra.